

# RIDING THE BUSINESS CYCLE: A GUIDE FOR INVESTORS



**■ Sreekar Sasanapuri,**  
Managing Director, Vizag Finserv

**M**arkets rarely behave like calm seas. Instead, they move in tides, pulled by the underlying rhythm of the economy. Economists call this rhythmic pattern - the business cycle: the sequence of expansion, peak, slowdown, and recovery that shapes everything from company profits to investor returns. For those willing to study the cycle rather than fear it, opportunities abound.

## The Nature of the Cycle

Business cycle is not a neat circle on a chart. It is a mix of growth and contraction, often stretched or shortened by shocks, policies, or plain human misjudgement. At its heart, however, it tells a simple story. When growth is strong, businesses hire, wages rise, and consumers spend. At some point, the momentum overheats: inflation creeps in, central banks tighten policy, and growth slows. Then comes the downturn. Demand

softens, profits shrink, and job losses follow. Yet even recessions contain the seeds of recovery: lower interest rates, cheaper valuations, and new cycles of investment.

## Why Cycles Matter

For investors, the cycle is not theory but reality. Corporate earnings are cyclical, borrowing costs are cyclical, even investor moods are cyclical. Timing these turns with precision is nearly impossible. But understanding where the economy broadly sits in this cycle helps shape portfolio strategy. Ignoring the cycle is like sailing without noticing the weather: you might get lucky, but more often you will be caught unprepared.

## Expansion: Growth Stocks and Risk Appetite

During expansion, optimism rules. Sales rise, profits fatten, and credit is easily available. Equity markets tend to reward growth companies, i.e. those investing heavily to capture demand. Sectors such as consumer durables, autos, and capital goods thrive. Investors willing to take on risk often find this the most rewarding phase, though it is also when valuations creep into uncomfortable territory.

## Peak: Defensive Moves

Peaks are harder to spot. They appear only in hindsight, when the data confirms what investors already suspected. This is when inflation bites and interest rates peak. Here, moving into defensive sectors such as healthcare, utilities, and consumer staples can be helpful. These businesses typically tend to be those which people buy regardless of the economy.

Cash allocation also deserves more attention, though too much caution too early means missing late-cycle rallies.

## Slowdown: Value Opportunities

The phase is a grim one where earnings fall, defaults rise, and news headlines scream recession. Yet for the patient investor, this is the bargain-hunting season. Valuations reset, and good companies trade at discounts. Value stocks, high-quality bonds, and gold find favour. The risk here lies in mistaking a falling knife for a cheap gem. Diversification and discipline matter more than ever.

## Recovery: Cyclical Plays

Recoveries begin quietly. Policy support filters through, inventories are rebuilt, and hiring restarts. Markets, ever forward-looking, often surge before the data turns. Cyclical sectors such as banks, construction, industrials, usually lead the charge. Investors who held nerve during the downturn are rewarded here.

## The Mutual Fund way

For a lay investor, keeping track of business cycle is not an easy task. There is where expertise matters since business cycle investing depends on macro-economic and top-down analysis, skills that most lay investors lack. The easiest way to address this challenge is to opt for a business cycle based mutual fund offering. Here, professional fund managers supported by analyst teams systematically align portfolios as per the business cycle making the most of the prevalent and emerging market opportunities.